

ACADEMIC DIRECTION · DR. DEBASIS PAHI, PH.D. (IIT KHARAGPUR)

When Capital Costs Meet Code Costs

Fed Chair Kevin Warsh's Jackson Hole warning, \$250–300 billion of hyperscaler AI debt, ASC 842 incremental borrowing rates, and a multi-year loss contingency.

Core philosophy: **AI generates. DATA informs. FINANCE measures. ACCOUNTING verifies. HUMAN JUDGMENT decides.**

1. Abstract

On 28 August 2026, Federal Reserve Chair Kevin Warsh used his first Jackson Hole keynote to reaffirm a “firm, fixed” 2 percent PCE inflation target and to warn that, absent clear and sufficiently rapid progress toward that objective, the central bank would “have work to do.” Markets immediately repriced the front end of the Treasury curve and lifted the implied probability of a September policy tightening to roughly 60 percent. One day earlier, S&P; Global Ratings published research projecting that combined hyperscaler capital expenditure would exceed \$1.3 trillion by 2027, that the six largest hyperscalers would generate negative free operating cash flow in 2026 and 2027, and that debt, leases, joint ventures, special-purpose vehicles and residual-value guarantees would finance an increasing share of the AI build-out. S&P; Global’s own operating guidance assumes \$250–300 billion of hyperscaler billed issuance in 2026. In the same week Nvidia reported quarterly revenue of \$96.22 billion and Meta agreed a multi-state child-safety settlement of up to approximately \$16.7 billion over ten years (plus a separate Texas resolution of about \$1 billion).

This case asks students to integrate four professional lenses—CFO, accountant, investor and AI systems designer—around a single measurement object: the discount rate. A 25–50 basis-point shift in policy rates changes the incremental borrowing rate used to measure new leases under ASC 842, the weighted-average cost of capital used to value AI infrastructure, the probability-weighted cash outflow of an ASC 450 contingency, and the covenant headroom on existing indentures. The pedagogical claim is deliberately unsentimental. Artificial intelligence can generate the first draft of a footnote. Only a human being can decide whether the firm should pre-fund, lease, joint-venture or walk away.

2. Learning Objectives

- Trace a monetary-policy speech to a change in an entity-specific incremental borrowing rate (ASC 842-20-30-3).
- Distinguish events that require remeasurement of an existing lease liability from events that affect only the next vintage of leases.
- Classify AI infrastructure contracts among leases (ASC 842), purchase commitments (ASC 440) and loss contingencies (ASC 450).
- Evaluate rating-agency adjusted leverage when SPVs, residual-value guarantees and operating leases coexist with on-balance-sheet bonds.
- Prepare a six-page board paper that a BBB+ issuer could actually send.

3. Setting

The classroom is a Saturday morning seminar for MBA and professional-accountancy students who will become controllers, treasurers and CFOs between 2027 and 2035. The institutional setting is global, but the measurement

literature is US GAAP (ASC 842, 440 and 450), with IFRS 16 used only as a comparative footnote. The time stamp is the 48 hours ending 29 August 2026. No number in this case is invented. Where a figure is an analyst inference rather than a filing, the text says so.

4. Facts and Exhibit

4.1 Monetary policy

Chair Warsh told the Jackson Hole symposium that recent inflation readings were “better than expected” yet “do not tell me that underlying trends have meaningfully improved.” His standard: “We must be confident that underlying inflation is moving to our objective, clearly and at sufficient speed. Otherwise, we have work to do.” He described the 2 percent PCE target as “firm” and “fixed,” assigned the central bank responsibility for a long stretch of above-target inflation, and argued for a “quieter” Federal Reserve that does not exist primarily to supply the next trade. Unemployment was cited near 4.1 percent in July; labour markets were described as consistent with full employment, with strains in housing, agriculture and recent-graduate hiring. After the speech the two-year Treasury yield moved toward 4.34 percent and the ten-year toward 4.70 percent. Market pricing of a September hike rose from roughly 40 percent to about 60 percent (Reuters, Forbes, Axios, CBS, The National, 28 August 2026).

4.2 Hyperscaler funding architecture

S&P; Global Ratings (27 August 2026) examined Alphabet, Amazon, Microsoft, Meta, Oracle and SpaceX. Combined hyperscaler capital expenditure is projected to exceed \$1.3 trillion by 2027. Negative free operating cash flow is expected across the six names in 2026 and 2027, with recovery not projected until 2029. Debt, leases, guarantees and other financing structures are playing an increasing role. Joint ventures, SPVs and residual-value guarantees increase the complexity of credit analysis (S&P; Global Ratings press release, 27 August 2026). Separately, S&P; Global’s CEO Martina Cheung told investors the firm now assumes \$250–300 billion of hyperscaler billed issuance for full-year 2026, after approximately \$169 billion in the first half, versus an initial outlook near \$200 billion. CFO Eric Aboaf, speaking on Bloomberg Businessweek, described AI as an “accelerant” rather than a forecast and referred to the period as “the refinancing wars.”

4.3 Nvidia as the real-economy counterpart

For the quarter ended July 2026 Nvidia reported revenue of \$96.22 billion and GAAP net income of \$59.69 billion. Data-centre revenue was \$89.0 billion (up 117 percent year on year). Third-quarter revenue was guided at \$108 billion plus or minus 2 percent. CFO Colette Kress stated that supply is expected to remain a bottleneck through at least January 2028 and that the company expects growth of about 70 percent the following year. Gross margin in the quarter was approximately 75 percent; free cash flow was reported at \$21.34 billion (company remarks and contemporaneous press, 26–27 August 2026). The pedagogical contrast is deliberate: the supplier of the constraint is cash-generative; many of its largest customers are choosing negative FOCF to buy that constraint.

4.4 Meta as the contingency counterpart

On 26 August 2026 Meta agreed to pay up to approximately \$16.7 billion over ten years to 47 US states, the District of Columbia and certain territories, plus a separate Texas resolution of about \$1 billion, to resolve claims that Facebook and Instagram were designed in ways that harmed children. The agreement imposes time-of-day and daily-use restrictions for minors and does not include an admission of liability. A contractual reducer of about \$5 billion applies if named peers do not accept comparable terms (state AG announcements, Reuters, Financial Times, Ars Technica, 26–27 August 2026). For the accountant this is an ASC 450-20 loss contingency with a multi-year payment profile; for the CFO it is a competing claim on the same cash calendar as data-centre leases.

Exhibit 1. Stylised measurement map (illustrative, not a forecast)

Object	Primary literature	Rate that moves	What the 28 Aug speech does
New finance / operating lease	ASC 842-20-30	Incremental borrowing rate	Raises IBR on leases commenced after the curve shift
Existing lease liability	ASC 842-20-35	Generally original rate, unless remeasurement event	No automatic remeasurement solely because yields rose
GPU / power take-or-pay	ASC 440-10-50	Not discounted in the commitment table	Increases opportunity cost of the commitment
Multi-year legal settlement	ASC 450-20-25 / 30	Risk-free or settlement-specific if discounting applied	Changes present value if the firm discounts long-dated accruals
Enterprise DCF of AI assets	Valuation practice, not GAAP	WACC	Reprices every unlevered free-cash-flow path

Sources for the underlying facts: Federal Reserve Chair remarks as reported 28 August 2026; S&P; Global Ratings, 27 August 2026; S&P; Global earnings commentary on hyperscaler issuance; Nvidia Q2 materials, 26 August 2026; Meta multi-state settlement filings and contemporaneous reporting, 26 August 2026. The exhibit itself is a teaching device, not a quotation from any one source.

5. Accounting Analysis (ASC 842 / 440 / 450)

5.1 Does the contract contain a lease?

ASC 842-10-15 requires an identified asset and the right to control the use of that asset for a period of time. A dedicated data-centre hall with specified cages, power density and substitution restrictions will usually meet the test. A cloud-capacity reservation that the supplier can fulfil from any of several regions generally will not. Power-purchase arrangements and virtual PPAs require a separate “period of use” analysis; Deloitte’s August 2026 Leases Roadmap explicitly flags this as an area of updated interpretation. Students must not assume that “AI infrastructure” is a single unit of account.

5.2 Incremental borrowing rate

The IBR is the rate the lessee would pay to borrow, on a collateralised basis over a similar term, an amount equal to the lease payments in a similar economic environment (ASC 842-20-30-3). It is entity-specific and credit-sensitive. A 40 basis-point jump in two-year yields does not, by itself, remeasure an existing liability. It does change the IBR used for every lease that commences after the curve has moved, and it changes the IBR used when a remeasurement event (term change, index reset that itself triggers remeasurement, residual-guarantee reassessment) occurs. Variable payments based on an index or rate remeasure the liability only when the liability is remeasured for another reason (US GAAP; contrast IFRS 16).

5.3 Residual-value guarantees and SPVs

S&P’s 27 August note is explicit that residual-value guarantees and SPVs are part of the hyperscaler funding toolkit. Under ASC 842, amounts probable of being owed under a residual-value guarantee are included in lease payments. Amounts not probable remain an ASC 440-style commitment until they become probable. Off-balance-sheet SPVs must still be tested for consolidation under ASC 810. The rating agencies will add them back regardless of the GAAP answer. The CFO who “wins” the accounting and loses the rating has not won.

5.4 Commitments that are not leases

GPU purchase agreements, take-or-pay power and multi-year cloud commitments that fail the lease tests remain ASC 440-10-50 items. The footnote is an undiscounted schedule. Students frequently under-weight this disclosure because it does not touch the face of the balance sheet. Credit investors do not.

5.5 Loss contingencies

ASC 450-20-25-2 requires accrual when a loss is probable and reasonably estimable. If only a range can be estimated, the amount that appears to be a better estimate is accrued; if no amount is better, the minimum of the range is accrued and the remainder is disclosed. A ten-year payment profile raises the further question of discounting. US GAAP does not universally require discounting of loss contingencies; practice and SEC staff comments have long expected discounting when the timing is fixed or reliably determinable and the effect is material. Insurance recoveries are a separate asset, recognised only when realisation is probable (and, for some recoveries, virtually certain in practice). Product-use restrictions imposed by a settlement are not a cash substitute; they can create onerous-contract or impairment questions under other topics if they reduce expected cash inflows from the restricted products.

6. Finance / CFO Perspective

The CFO sees three clocks running at once. The first is the policy clock: a quieter Fed that refuses to pre-announce the next trade still moved two-year yields by double-digit basis points in a morning. The second is the funding clock: \$250–300 billion of hyperscaler issuance in a single year, against a refinancing wall that Aboaf described without euphemism. The third is the real-asset clock: Nvidia’s supply constraint through January 2028 means that delaying a lease or a purchase does not preserve option value if the alternative is empty halls. Negative FOCF through 2027 is therefore not, by itself, evidence of value destruction. It is evidence that the board has chosen to exercise a real option whose strike price is measured in gigawatts and GPUs. The CFO’s job is to keep that option from becoming a covenant event.

Working capital discipline still matters. Interest-coverage tests do not care that the capex is “strategic.” A BBB+ issuer that pre-funds \$3 billion in September buys insurance against a September hike and pays for that insurance in carry. Waiting buys information and risks a worse IBR on every lease commenced after the hike. Neither choice is free. That is the point of Section 10.

7. Three-Question Decision Framework

Q1 Measure. If the funds rate is 25–50 basis points higher by December, what happens to the IBR on new ten-year data-centre leases, and by how many millions does next year’s interest plus right-of-use amortisation rise?

Q2 Structure. Which portion of the AI build-out should sit on the balance sheet, which in a JV or SPV, and which as an ASC 440 commitment—and can that split be defended to S&P; and the audit committee?

Q3 Govern. If a multi-year loss contingency of Meta’s scale landed tomorrow, would the firm have a pre-agreed accrual policy, a discounting convention, and a communication plan that protects both the rating and the culture?

8. Student Assignment — You Are the CFO

You are CFO of Aether Cloud, a BBB+ rated digital-infrastructure platform. The 2027 capital plan is \$8.4 billion: GPU clusters, leased shells and a fifteen-year power offtake. The Treasurer wants to pre-fund \$3 billion this September, before a possible hike. The Controller wants to wait for year-end IBR evidence. Legal has flagged a \$420 million probable multi-state product claim, payable over eight years. Produce a six-page board pack within 48 hours that contains: (1) an IBR sensitivity of ± 50 basis points on a representative twelve-year lease with \$1.1 billion of undiscounted payments, showing the right-of-use and liability delta; (2) a recommended funding mix among cash, investment-grade bonds, leases and a joint venture, with the rating-agency adjusted-debt consequence of each; (3) the ASC 450 journal entry and the footnote sentence you would personally sign; and (4) a 150-word paragraph the CEO will read to the board, containing no adjective you cannot source.

9. Teaching Questions

1. Does a rise in market yields, standing alone, require remeasurement of an existing ASC 842 lease liability? Cite the paragraph.
2. When does a power-purchase arrangement contain a lease? Apply the identified-asset and control tests.
3. How should a residual-value guarantee on GPU hardware be allocated between the lease liability and other GAAP?
4. For a ten-year settlement, when is discounting required and which rate is appropriate?
5. Is negative FOCF at a hyperscaler evidence of value destruction or of a real-option exercise? What evidence would change your mind?
6. If an AI system can extract every covenant from an indenture in seconds, what remains uniquely human in the CFO's judgment?

10. AI Implications

Three implications follow. First, AI is the demand shock that made the funding architecture visible: Nvidia's \$89 billion of data-centre revenue in a single quarter is not a software story. Second, AI is now inside the credit-information stack itself. S&P; Global reports permissioned large-language-model access for approximately 500 clients; covenant language that once travelled at the speed of a sell-side note now travels at the speed of a prompt. Third, AI is a control. Anomaly detection in accounts payable, automated lease abstraction and clustering of legal claims can compress the close. None of those tools chooses the discount rate, the settlement strategy, or the sentence the CEO will read. The EU AI Act and BaFin's 2026 assignment of market-surveillance duties for AI used in regulated finance already treat model risk as a first-class supervisory object. The 2035 CFO who cannot explain a model's discount-rate assumption will not be able to explain the accounts.

11. Primary Sources

- Federal Reserve Chair Kevin Warsh, Jackson Hole remarks, 28 August 2026, as reported by Reuters, Forbes, Axios, CBS News, Politico, Bloomberg and The National (contemporaneous transcripts and news accounts).
- S&P; Global Ratings, "S&P; Global Ratings' View On Artificial Intelligence And Hyperscalers," press release, 27 August 2026 (CapEx > \$1.3 trillion by 2027; negative FOCF 2026–27; debt, leases, JVs, SPVs, residual-value guarantees).
- S&P; Global Inc. Q2 FY2026 earnings commentary (CEO Martina Cheung): \$250–300 billion hyperscaler billed issuance assumed for 2026; ~\$169 billion in the first half.
- Eric Aboaf, CFO, S&P; Global, Bloomberg Businessweek Daily interview, 27 August 2026 ("accelerant," "refinancing wars").
- NVIDIA Corporation, fiscal Q2 results and prepared remarks, 26 August 2026 (revenue \$96.22 billion; profit \$59.69 billion; data centre \$89.0 billion; Q3 guide \$108 billion ±2%).
- State attorneys general announcements and contemporaneous reporting on the Meta multi-state settlement, 26 August 2026 (Reuters, Financial Times, Politico, Ars Technica, Tennessee AG).
- FASB Accounting Standards Codification Topics 842, 440 and 450; ASU 2024-03 (expense disaggregation).
- Deloitte, Roadmap: Leases (August 2026 edition), on PPAs, virtual PPAs and period-of-use analysis.

12. Academic Profile — Dr. Debasis Pahi

Dr. Debasis Pahi holds a Ph.D. from the Indian Institute of Technology Kharagpur. His academic and professional work concentrates on corporate governance, capital structure, ESG measurement and the future of the finance function. He is Academic Director of Future CFO 2035, a classroom-to-boardroom programme that treats accounting standards, capital-market microstructure and artificial intelligence as a single professional craft rather than as three electives. Correspondence: drdebasis.research@gmail.com. LinkedIn: Dr. Debasis Pahi (Ph.D). Instagram: [@drdebasispahi](https://www.instagram.com/drdebasispahi). YouTube: <https://www.youtube.com/@dpklass1990>. Publications and citations are indexed on Google Scholar and Scopus under the name Debasis Pahi.

Closing thought. The machines will keep asking for capital. The market will keep asking for a rate. The standard-setter will keep asking for a number. The board will keep asking for a decision. Only one of those four can be delegated. Choose carefully which one.

— Dr. Debasis Pahi · Future CFO 2035 · 29 August 2026

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